

WMT: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2026 vs FY2025
Run date	2026-09-23
Conversation id	ce4d610cff674469
Runtime	79.338s
Tokens (in / out)	67,057 / 15,012
Bull claims	6 kept, 0 removed
Bear claims	6 kept, 0 removed

Bull case

1. WMT's revenue grew to "\$713,163 million" in fiscal 2026, a "4.73%" increase from "\$680,985 million" in fiscal 2025, primarily due to strong positive comparable sales across its U.S. segments and international markets, and strength in eCommerce, grocery, and health and wellness. [F1] [C1] [F2] [P3]
2. The company's net income increased to "\$21,893 million" in fiscal 2026 from "\$19,436 million" in fiscal 2025, with the net income margin improving by "+0.22 percentage points" to "3.07%" in fiscal 2026. [F3] [F4] [C7] [C4]
3. WMT generated increased free cash flow of "\$14,923 million" in fiscal 2026, up from "\$12,660 million" in fiscal 2025. [C8] [C9]
4. The company improved its return on equity to "22.97%" in fiscal 2026 from "21.43%" in fiscal 2025, while also reducing its debt-to-equity ratio to "38.31%" from "39.55%" over the same period. [C14] [C15] [C12] [C13]
5. WMT is focused on growth through a seamless omnichannel experience, accelerating eCommerce sales, and expanding omnichannel initiatives, while also prioritizing margin improvement through productivity initiatives, category and business mix, and expanding into higher-margin areas like digital advertising. [P1] [P2] [P4]
6. Sam's Club U.S. eCommerce sales positively contributed approximately "3.3%" and "2.3%" to comparable sales for fiscal 2026 and 2025, respectively, reflecting continued strength in member engagement with omnichannel offerings. [P2]

Bear case

1. The company's operating income margin declined by -0.13 percentage points to 4.18% in fiscal 2026 from 4.31% in fiscal 2025, despite an objective to improve operating income margin through productivity initiatives and business mix. [C6] [C2] [C3] [P2]
2. The current ratio decreased from 82.27% in fiscal 2025 to 78.98% in fiscal 2026, indicating a weakening liquidity position. [C11] [C10]
3. Net sales were negatively impacted by \$2.8 billion due to fluctuations in currency exchange rates in fiscal 2026, and lower fuel sales negatively impacted comparable sales by 1.9% in fiscal 2026. [P3] [P2]
4. Risks associated with suppliers, including their financial instability and potential inability to fulfill indemnification obligations, could materially adversely affect financial performance and expose the company to the full cost of liability claims for product quality issues. [P6] [P8] [P10]
5. Economic factors, such as higher transportation, labor, insurance, healthcare costs, or commodity prices, can increase the cost of sales and operating expenses, and may cause a slowdown in discretionary purchases, adversely affecting net sales and operating income. [P9]
6. The percentage change in net sales from the comparable period decelerated from 5.0% in fiscal 2025 to 4.7% in fiscal 2026. [P2]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	6	0
bear	0	6	0

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
F1	revenue FY2026: \$713,163 million	Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C1	revenue_yoy_growth FY2026: 4.73%	(revenue FY2026 - FY2025) / FY2025 ; inputs: Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
F2	revenue FY2025: \$680,985 million	Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
P3	Front passage for fiscal 2026 and 2025, respectively, when compared to the previous fiscal year. These increases in revenues were primarily due to increases in net sales, which increased \$31.9 billion or 4.7% and \$31.9 billion or 5.0% for fiscal 2026 and 2025, respectively, when compared to the previous fiscal year. The increases were primarily due to strong positive comparable sales across our U.S. segments an...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0093
F3	net_income FY2026: \$21,893 million	NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31

ID	Evidence	Source
F4	net_income FY2025: \$19,436 million	NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C7	net_income_margin_change FY2026: +0.22 percentage points	net_income_margin FY2026 - FY2025; inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C4	net_income_margin FY2026: 3.07%	net_income / revenue (FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C8	free_cash_flow FY2026: \$14,923 million	operating_cash_flow - capex (FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C9	free_cash_flow FY2025: \$12,660 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C14	return_on_equity FY2026: 22.97%	net_income FY2026 / avg(shareholders_equity FY2025, FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C15	return_on_equity FY2025: 21.43%	net_income FY2025 / avg(shareholders_equity FY2024, FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2024-01-31
C12	debt_to_equity FY2026: 38.31%	long_term_debt / shareholders_equity (FY2026); inputs: LongTermDebt [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C13	debt_to_equity FY2025: 39.55%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
P1	Front passage by everyday low costs. At times, we adjust our business strategies to maintain and strengthen our competitive positions in the countries in which we operate. We define our financial priorities as follows: - Growth - serve customers through a seamless omnichannel experience; - Margin - improve our operating income margin through productivity initiatives as well as category and business mix; and - R...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0084

ID	Evidence	Source
P2	Front passage and health and wellness. Additionally, fiscal 2026 and 2025 growth was partially offset by lower fuel sales, negatively impacting comparable sales by 1.9% and 1.5%, respectively, primarily due to lower fuel prices. Sam's Club U.S. eCommerce sales positively contributed approximately 3.3% and 2.3% to comparable sales for fiscal 2026 and 2025, respectively, which reflects continued strength in membe...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0086
P4	Front passage trust that our prices will not change under frequent promotional activity; - EDLC: everyday low cost is our commitment to control expenses so our cost savings can be passed along to our customers; - Omnichannel offerings such as pickup and delivery, all of which enhance convenience and seek to serve customers in the ways they want to be served; - Expanding our ecosystem and the products and servic...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0017
C6	operating_income_margin_change FY2026: -0.13 percentage points	operating_income_margin FY2026 - FY2025; inputs: OperatingIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; OperatingIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C2	operating_income_margin FY2026: 4.18%	operating_income / revenue (FY2026); inputs: OperatingIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C3	operating_income_margin FY2025: 4.31%	operating_income / revenue (FY2025); inputs: OperatingIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C11	current_ratio FY2025: 82.27%	current_assets / current_liabilities (FY2025); inputs: AssetsCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; LiabilitiesCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C10	current_ratio FY2026: 78.98%	current_assets / current_liabilities (FY2026); inputs: AssetsCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; LiabilitiesCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
P6	Front passage procuring products; increasing transportation costs (whether due to fuel prices, fuel supply or otherwise); disrupting critical infrastructure systems, banking systems, utility services or energy availability to our stores, clubs and our facilities; and disrupting communications with our stores, clubs and our other facilities. We bear the majority of the costs associated with adaptation and the ri...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0036
P8	Front passage operations and financial performance. These risks include political and economic instability, as well as other impactful events and circumstances in the countries and regions in which our suppliers are located, goods are manufactured and located, and through which goods are transported; the financial instability of suppliers; suppliers not having the financial ability or capacity to fulfill their ...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0037

ID	Evidence	Source
P10	Front passage material impact to our brand, reputation and financial performance. Our customers count on us to provide them with quality products at an affordable price. Occasionally, the quality of products that we source from our suppliers fails to meet customer expectations. In many cases, these products are subject to regulatory action or recall. For general merchandise, this could be because the product fa...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0038
P9	Front passage in the U.S. or such other markets, change the mix of products we sell to any one or more markets with a lower average gross margin, cause a slowdown in discretionary purchases of goods, adversely affect our net sales, growth rates, operating income and result in slower inventory turnover and greater markdowns of inventory, or otherwise materially adversely affect our operations and operating resul...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0033